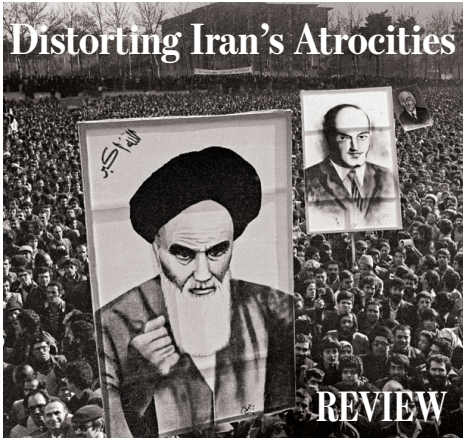




WSJ

THE WALL STREET JOURNAL WEEKEND



DOW JONES | News Corp ***** SATURDAY/SUNDAY, FEB. 28 - MARCH 1, 2026 ~ VOL. CCLXXXVII NO. 48 WSJ.com ★★★★★ \$6.00

What's News

Business & Finance

- ◆ **The federal government** will stop working with the AI company Anthropic, Trump said, marking a dramatic escalation of the government's clash with the company. **A1**
- ◆ **Officials at multiple** federal agencies have raised concerns about the safety and reliability of Musk's xAI AI tools in recent months. **A1**
- ◆ **Nvidia plans to unveil** a new processor specially tailored to help OpenAI and other customers build faster, more efficient tools, a move that is poised to reset the AI race. **A6**
- ◆ **OpenAI said** it has secured commitments totaling \$110 billion in new funding. **A6**
- ◆ **Target said it would** carry only cereals made without certified synthetic colors at its stores, citing sales data. **B9**
- ◆ **Trump's media company** is in discussions to spin off businesses, including social-media platform Truth Social. **B9**
- ◆ **OPEC and its allies meet** Sunday to decide whether to add barrels to the market or continue holding back. **B10**
- ◆ **The S&P 500** and Nasdaq fell in February, each suffering their worst month since tariff turmoil last spring while the Dow rose 0.2%. **B10**
- ◆ **A chorus of concerns** about AI and risky lending has bank investors spooked. **B10**

Worldwide

- ◆ **DHS Secretary Noem** for months failed to appropriately respond to the findings of an internal watchdog that allowing passengers to keep their shoes on during airport screening is creating "significant" security risks, according to documents reviewed by The Wall Street Journal and officials familiar with the matter. **A1**
- ◆ **Former President Clinton** said in a deposition before a Republican-led House committee that he wasn't aware of the crimes that Jeffrey Epstein was committing. **A1**
- ◆ **The Federal Reserve** is waging a behind-closed-doors legal challenge to subpoenas issued in the criminal probe into Chair Jerome Powell. **A2**
- ◆ **The Pentagon said** it shot down a "seemingly threatening" drone near the Texas-Mexico border Thursday, prompting aviation officials to expand flight restrictions. **A3**
- ◆ **U.K. Prime Minister Keir Starmer's** grip on power took another blow after the Green Party won a special election. **A7**
- ◆ **The Argentine Senate** approved President Javier Milei's sweeping free-market overhaul of country's labor laws. **A7**
- ◆ **The U.S. intensified** military preparations for a possible war with Iran as the aircraft carrier USS Gerald R. Ford approached the region. **A8**
- ◆ **Died: Neil Sedaka**, 86, singer-songwriter. **A2**

PEGGY NOONAN
The Oprah State of the Union **A13**

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Pakistan Calls Conflict With Afghans 'Open War'



HOSTILITIES: Taliban security personnel in Khost province watch for Pakistani aircraft on Friday. Strikes occurred in Kabul and along the border after Pakistan said it had lost patience with what it said were attacks by Afghan forces and a militant group. **A7**

U.S. Halts Use of Anthropic AI After Tension Over Guardrails

By AMRITH RAMKUMAR

The federal government will stop working with Anthropic and designate the artificial-intelligence company a supply-chain risk, a dramatic escalation of the government's clash with the company over how its technology can be

used by the Pentagon. "I am directing every federal agency in the United States government to immediately cease all use of Anthropic's technology. We don't need it, we don't want it and will not do business with them again!" President Trump said Friday in a social-media post.

The Defense Department and other agencies using Anthropic's Claude models will have a six-month phaseout period, the president said, adding that there would be civil and criminal consequences if the company isn't helpful during the transition. Trump's announcement

came shortly before the Pentagon's Friday afternoon deadline for Anthropic to agree to let the military use its models
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- ◆ **Nvidia prepares new chip to speed AI processing...** **A6**
- ◆ **OpenAI raises \$110 billion in new funding**..... **A6**

Agencies Raise Alarm About Use of Grok

Officials at multiple federal agencies have raised concerns about the safety and reliability of Elon Musk's xAI artificial-intelligence tools in recent months, highlighting continuing disagreements within the U.S. government about which AI models to deploy, according to people familiar with the matter. The warnings preceded the

By Shalini Ramachandran, Heather Somerville and Amrith Ramkumar

Defense Department's decision this past week to put xAI at the center of some of the nation's most sensitive and secretive operations by agreeing

to allow its chatbot Grok to be used in classified settings. Grok-4 "does not meet the safety and alignment expectations required" for general federal use within the General Services Administration and an experimental federal AI platform, said a Jan. 15 executive summary of a GSA report flagging Grok safety issues, reviewed by The Wall

Street Journal. The larger 33-page report, which discussed public safety incidents and the results of the GSA's own testing, concluded that even limited government use of Grok would require strict and layered safety oversight, without which its inclusion "would pose elevated and difficult-to-manage
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Bill Clinton Denies Any Wrongdoing With Epstein

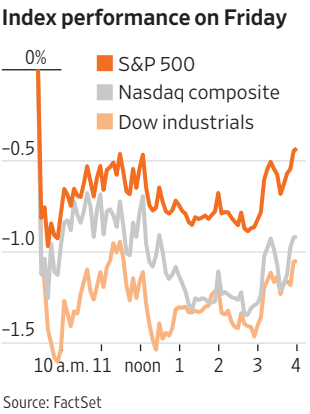
CHAPPAQUA, N.Y.—Bill Clinton said he was not aware of the crimes that disgraced financier and convicted sex offender Jeffrey Epstein was committing, opening an extraordinary deposition with the former Democratic president before a Republican-led House committee.

By Anvee Bhutani, Ken Thomas and Alyssa Lukpat

Clinton sat for the deposition before the House Oversight Committee on Friday, a day after his wife, Hillary Clinton, the former secretary of state and senator, testified before the same committee. The closed-door, videotaped deposition, marking the first time a former U.S. president appeared before a congressional committee under subpoena, took place near the Clintons' residence in New York's Westchester County. According to a copy of his prepared opening remarks to the committee, Bill Clinton said he had "no idea" about Epstein's crimes and said they
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Tech Drags Down Stocks

The S&P 500 and Nasdaq capped their worst month since last spring. **B10**



The Nebraska Auditor Who Busts Workers for Running Errands

Mike Foley has the receipts—literally—for the misuse of government vehicles

By SCOTT CALVERT
One October day, a Nebraska employee bought a 14-inch animated LED skeleton on a toilet. Government auditors called out the purchase—not for being tacky but for how the worker got to the store: in a state car. Nebraska law bars "any

Raves, Debt, Deaths And Wall Street

How a fund manager came to own a club

By ALEXANDER SAEEDY

Andrew Axelrod realized that the \$40 million he had backing the Brooklyn Mirage was going south when the club's founder disappeared without a trace. Axelrod, a 42-year-old fund manager who cut his teeth in Wall Street's distressed-debt markets, believes live events are a cash

cow of our times. He isn't alone. Private-equity firms and hedge funds alike have thrown billions of dollars at the live-events industry, believing it offers a visceral, in-person antidote to society's obsession with computer screens and iPhones. The Mirage, a 32,000-square-foot, open-air dance venue on the outskirts of
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Noem Cited for Security Risks at Airports

Secretary's handling of shoes-on policy is part of a pattern of concerning incidents

Department of Homeland Security Secretary Kristi Noem for months failed to appropriately respond to the findings of an internal watchdog that one of her biggest changes to airport security—allowing passengers to pass through screening checkpoints with their shoes on—is creating "significant" security risks, according to a letter from the inspector general reviewed by The Wall Street Journal and officials familiar with the matter.

By Tarini Parti, Josh Dawsey and Michelle Hackman

In July, she announced the change with great fanfare, granting the shoes-on policy to passengers even if they weren't enrolled in the Transportation Security Administration's precheck program. The announcement to eliminate what millions of travelers view as a nuisance was one of Noem's most politically popular moves to date. But a classified November report by the Department of Homeland Security's inspector general, the agency's top watchdog, found that some of the TSA full body scanners that most airline passengers pass through can't scan shoes, according to people familiar with the report's contents. The report determined Noem's policy move had inadvertently created a new security vulnerability in the system. Some White House officials have been made aware of the report. When the secretary's office was briefed on the report, they gave it a higher level of classification and blocked it from being publicly released.
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EXCHANGE



\$81 BILLION
How David Ellison's wealth and influence brought the battle for Warner to an end. **B1**

Pilot's Escape in Attack Shows Risks in Mideast

By MICHAEL R. GORDON AND ANDREW DOWELL

U.S. Air Force pilots Lt. Col. William "Skate" Parks and Maj. Michael "Danger" Blea were returning from a strike mission in Yemen last year, when Houthi militants lit up their F-16s with targeting radar. For 15 minutes, the pilots struggled to evade a half-dozen surface-to-air missiles. A missile shot past Parks and exploded over Blea's jet.

The missile passed "right underneath my left wing," Parks said of the near miss, which occurred 12 days into Operation Rough Rider, the first major military operation of President Trump's second term. As the U.S. assembles an armada of naval and air power
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◆ **Second U.S. aircraft carrier** nears Mideast..... **A8**
◆ **Iran is said to be far from** building ICBMs..... **A8**